

505, *Tax Withholding and Estimated Tax*. You must also be sure to pay enough self-employment tax. For details, go to www.irs.gov and search for Self-Employment Tax, Topic 554. Even if you're desperately afraid of tax-related reading, get hold of these booklets and attempt to read them. After reviewing them, if you still find it difficult to determine your estimated quarterly tax or if you're unsure whether you need to pay self-employment tax at all, seek the help of a tax preparer.

As a self-employed person, you're eligible for many additional deductions. You can deduct half the Social Security and Medicare taxes you pay, for example. In 2009 you are also allowed to deduct all of your medical insurance premiums. You can deduct business travel expenses, whether or not they exceed 2% of your adjusted gross income. And you may be able to deduct the cost of office supplies and equipment. Get the *Tax Guide for Small Business*, Publication 334, from the IRS at www.irs.gov.

You might even be able to deduct your *home* office expenses. Keep in mind, though, that the IRS has very strict rules regarding home offices. You must use the space that you designate as your home office exclusively for business and on a regular basis. If your desk is in your living room, for example, you will have trouble proving that you use that portion of your home exclusively for work. Consult a tax guide or preparer. Also, get a copy of *Business Use of Your Home*, Publication 587, from the IRS.

As a self-employed person, one of your smartest tax (and savings) moves is to open an IRA. But the most you can contribute to an IRA is \$5,000 each year. If you have more money to put aside, consider contributing to a special type of IRA known as a Simplified Employee Pension (SEP-IRA) plan. The rules are laid out on the IRS website (www.irs.gov) in Publication 590, *Individual Retirement Arrangements*, and Publication 560, *Retirement Plans for Small Business*. (For details on IRAs, SEPs, and SIMPLE IRAs, see Chapter 6.)

↓ **GETTING YOUR TAX LIFE IN ORDER**

Probably the most daunting part of the tax process is getting your paperwork in order. This section offers a rundown of the various tax forms. It also includes a checklist to help you avoid drowning in paper.